

Provision of financial services:

Problems asymmetry in knowledge and understanding between providers of financial services + clients

→ addressed by legislation

CHAPTER 10: APPLICATIONS OF LEG + REG FRAMEWORK

(AFFIRMS CIC)

Key principles of legislation:

Integrity	observe high standard of integrity + fair dealing → all in interests of customers
skill, care + diligence	firms should act with skill, care + diligence
market practice	observe high standard of market conduct comply with code of standard
Info about customers	seek info about circumstances + investment objectives which may be relevant in fulfilling responsibilities
Info for customers	give customers, in a timely + comprehensible way, info that allows them to make balanced + informed decisions provide full + fair account of fulfilment of responsibilities
Conflicts of interest	Avoid through - disclosure - internal confidentiality rules - decline to act customer interests > own interests
customer assets	safeguard + protect by way of segregation + identification of assets
Financial Resources	maintain adequate financial resources to meet business commitments + withstand risks

Internal organisation

Organise + control internal affairs + keep proper records
Staff should be suitable, adequately trained + properly supervised
→ well defined compliance procedures

Relations with regulator

deal with regulator in open + co-operative manner

Other factors influencing the nature of legislation

Nature of leg should reflect degree of asymmetry
- documentation
- cross-boarder

Institutional Investment

Practices:

(MOP AT A BOARD)

Nature of Principles underlying legislation:

Effective decision making	Only take decisions if have skills, info + resources to take them effectively → Appoint investment managers
Clear objectives	
Focus on asset allocation	Strategic asset allocation → based on contribution made to fund's investment objectives
Expert advice	Employ advisors for help in valuing R + L + choosing investment strategy
Explicit mandates	Trustees + internal + external managers should agree on: - objectives, benchmarks + risk parameters that are coherent with aggregate objectives + risk tolerance - manager's approach in meeting objectives - clear timescales of measurement + evaluation
Activism	Strategy - circumstances to intervene - approach in doing so - how to measure effectiveness of this strategy
Appropriate benchmarks	Trustees should - consider if index benchmarks are appropriate - set divergence limit from index - consider active/passive management given efficiency, liquidity + level of transaction costs - if active: set targets + risk controls to reflect this ONPP

performance measurement	formal assessment of procedures + decisions of trustees, advisors + managers
Transparency	'Statement of Investment principles' DO FM - who is taking which decisions + why this was chosen - fund's investment objectives - fund's planned asset allocation strategy + projected investment returns + how strategy was arrived at - mandates given to advisors + managers - nature of fee structure for advisors + managers + why this structure was selected
Effective operations	consider in selection of management
Regular reporting	publish statement of investment principles + results from monitoring advisors + managers → explain departure from principles

Roles + responsibilities of

Directors: **DAMTC**

- solvent trading + compliance with regulations
- production of accounts
- appoint managers
- approve dividend payments

Principle-agent problem

↳ directors **abuse** power + don't act in interest of shareholders

How to overcome:

- formal audit committee → financial accounts give true + fair view
- independant remuneration committee → monitor pay + benefit packages of senior execs
- proposed extension of director's liabilities → shareholders can sue for failure to act in moral, ethical or fiduciary duty

International Financial Reporting Standards

Aims

- encourage reliable + consistent accounting data
- transparency of accounting data
- single set of standards that enables access to financial market
- avoid having to produce results on several bases

IFRS 9:

- investments = fair value in balance sheet
- revaluation of P/L shown in income statement